



Figure 61.3 Which of these patterns is a valid three falling peaks chart pattern?

What about A1, A2, and A3? The three peaks appear similar, and the pattern confirms when price closes below the valley between A2 and A3. Guess what? It is also an invalid pattern. Why?

Look at peak A2. See that spike to the left of A2? It is part of A2, and it is taller than A1 by 2 cents. Thus, the second peak is higher than the first, so it is not a valid three falling peaks pattern.

In my statistics, I did not include it as a valid pattern, but since it worked out well, you might research similar patterns (with a peak slightly above the prior peak) and see how they perform. Yes, I'm being picky on this one. If you want to include a wider peak A2 as valid, then that's fine. The overall pattern shows three significant highs trending downward.

Figure 61.4 shows a common failure of the three falling peaks chart pattern. The stock drops after the breakout but only by a small amount before encountering support.